

Strategy	Creator (Year)	Net Return	Volatility	Sharpe Ratio
Value Investing	Benjamin Graham (1934)	10.7%	16.0%	0.42
Growth Investing	Philip Fisher (1958)	12.1%	20.0%	0.40
Index Investing	John Bogle (1976)	8.9%	15.0%	0.33
Dividend Investing	Geraldine Weiss (1966)	8.2%	12.0%	0.35
Momentum Investing	Richard Driehaus (1980s)	10.7%	22.0%	0.30
Contrarian Investing	Sir John Templeton (1954)	10.1%	19.0%	0.32
Magic Formula	Joel Greenblatt (2005)	10.3%	17.0%	0.37
CAN SLIM	William O'Neil (1988)	11.0%	21.0%	0.33
All Weather Portfolio	Ray Dalio (1996)	6.9%	8.0%	0.36
Day Trading	Charles Dow / various	-3.0%	35.0%	-0.20
Bond Laddering	Traditional	4.3%	4.0%	0.07
Dogs of the Dow	Michael O'Higgins (1991)	9.2%	15.5%	0.34

20Y Median (£10k+£300/mo)	P(Loss)	Skill Level	Time Required
£286,171	0.6%	Intermediate	5-10 hrs/wk
£318,651	1.8%	Intermediate	5-10 hrs/wk
£226,019	1.3%	None	0.5 hrs/wk
£214,137	0.4%	Beginner	2-3 hrs/wk
£246,325	5.3%	Advanced	10-15 hrs/wk
£247,913	2.9%	Advanced	5-10 hrs/wk
£264,064	1.3%	Beginner	2-3 hrs/mo
£266,127	3.5%	Advanced	15-20 hrs/wk
£187,858	0.1%	Beginner	1-2 hrs/mo
£38,677	81.8%	Expert	40-60 hrs/wk
£136,310	0.0%	Beginner	1-2 hrs/mo
£232,354	1.2%	None	1 hr/yr

DAY TRADING PATTERN ANALYSIS

Pattern Name	Creator	Theoretical Win Rate	Risk:Reward
Head and Shoulders	Charles Dow (1900s)	65%	1:1.5
Double Top / Bottom	Charles Dow (1900s)	60%	1:1.3
Cup and Handle	William O'Neil (1988)	62%	1:1.8
Bullish/Bearish Engulfing	Steve Nison (1991)	55%	1:1.2
Morning/Evening Star	Steve Nison (1991)	58%	1:1.4
Fibonacci Retracement	Fibonacci / traders	50%	1:1.5
RSI Divergence	J. Welles Wilder Jr. (1978)	55%	1:1.3
MACD Crossover	Gerald Appel (1979)	52%	1:1.1
Bollinger Band Squeeze	John Bollinger (1980s)	58%	1:1.6
Moving Avg Crossover	Various (1960s+)	50%	1:1.2
Hammer / Hanging Man	Steve Nison (1991)	54%	1:1.2
Triangle Breakout	Richard Schabacker (1930s)	60%	1:1.4

KEY INSIGHT

Theoretical win rates assume perfect pattern identification, disciplined execution, and no emotional inter
In practice, retail traders achieve 10-20% lower win rates due to emotional trading, poor risk managemen
Even the best patterns, traded perfectly, underperform passive index investing when accounting for time

Frequency	Reliability	Verdict
Moderate	High	Best reversal signal
Common	Moderate	Simple but effective
Rare	High	Strong when it appears
Very Common	Low-Moderate	Needs confirmation
Moderate	Moderate	Good 3-candle signal
Very Common	Low	Self-fulfilling prophecy
Common	Moderate	Better as confirmation
Very Common	Low	Lagging indicator
Moderate	Moderate	Good volatility signal
Common	Low	Too many false signals
Common	Low-Moderate	Context dependent
Moderate	Moderate	Needs volume confirm

ference.
it, and overtrading.
spent.

BOND INVESTMENT STRATEGIES

Strategy	How It Works	Yield
Ladder	Spread maturities evenly (1-10yr), reinvest as each matures	4.2%
Barbell	70% short-term + 30% long-term, nothing in between	4.2%
Bullet	Concentrate all bonds at single target maturity (e.g. 5yr)	4.3%
Buy and Hold	Purchase individual bonds, hold to maturity, collect coupons	4.0%
Total Return	Actively trade bonds for price gains plus income	5.5%

Duration Risk	10Y Median (£50k)	Best For
Medium (5.5yr)	£75,042	Steady income, rate hedging
High (5.5yr avg but uneven)	£74,364	Rate uncertainty, active mgmt
Medium (5.0yr)	£75,888	Known future liability
Low (if held)	£72,000	Capital preservation
Variable	£80,000	Sophisticated investors

Risk Level
Low-Medium
Medium
Low-Medium
Low
Medium-High

WHICH STRATEGY IS RIGHT FOR YOU?

Your Situation	Best Strategy
Complete beginner, no time	Index Investing (Bogle)
Beginner, want income	Dividend Investing (Weiss)
Beginner, some time	Magic Formula (Greenblatt)
Intermediate, 5-10 hrs/wk	Value Investing (Graham/Buffett)
Intermediate, growth focus	Growth Investing (Fisher)
Advanced, contrarian mindset	Contrarian (Templeton)
Advanced, high time commitment	Momentum (Driehaus)
Risk-averse, capital preservation	All Weather (Dalio)
Want to day trade (honest answer)	Don't. Use Index instead.
Near retirement, need safety	Bond Laddering

Why	Expected 20Y Outcome
Zero skill needed, lowest cost, beats 85% of pros	£226k
Consistent cash flow, lower volatility, growing payouts	£214k
Simple rules, rebalance twice a year, strong track record	£264k
Best risk-adjusted returns, proven over 90+ years	£286k
Highest absolute returns, but more volatile	£319k
Buy fear, sell greed. Requires emotional discipline	£248k
Ride trends, but needs constant monitoring	£246k
Lowest drawdowns, works in all conditions	£188k
82% lose money. Even winners spend 40+ hrs/week	£39k (vs £226k index)
Predictable income, very low risk, capital protection	£136k

Alternative
Dogs of the Dow
Bond Laddering
Index Investing
Contrarian
CAN SLIM
Value Investing
CAN SLIM
Bond Ladder
Paper trade first
All Weather

RISK PROFILE COMPARISON

Strategy	Max Drawdown	Recovery Time	Worst 20Y Outcome
Value Investing	-45%	2-4 years	£92k
Growth Investing	-55%	3-5 years	£68k
Index Investing	-50%	3-7 years	£82k
Dividend Investing	-35%	1-3 years	£108k
Momentum Investing	-55%	3-5 years	£52k
Contrarian Investing	-50%	2-5 years	£64k
Magic Formula	-48%	2-4 years	£74k
CAN SLIM	-55%	3-5 years	£58k
All Weather	-20%	0.5-1 year	£138k
Day Trading	-80%	Never (most quit)	£0
Bond Laddering	-8%	< 6 months	£118k
Dogs of the Dow	-45%	2-4 years	£78k

Emotional Difficulty	Biggest Risk
Moderate	Value traps (cheap for a reason)
High	Overpaying for growth that never comes
Moderate	Broad market decline, no protection
Low	Dividend cuts in recession
Very High	Momentum crashes (whipsaw)
Very High	Catching falling knives
Moderate	Underperforms for years then catches up
High	Complex system, many moving parts
Very Low	Lower long-term returns vs equity
Extreme	Total capital loss, addiction
Very Low	Inflation eroding real returns
Low	Concentrated in declining companies

PROFESSIONAL FRAMEWORKS DEMONSTRATED IN

Framework	Where Applied
Risk-Adjusted Return Analysis	All strategies
Scenario Analysis	Monte Carlo sims
Sensitivity Analysis	Day trading patterns
Margin of Safety Analysis	Strategy selection
Industry and Sector Comparison	12 strategies side by side
Top-Down Analysis	Bond strategies
Bottom-Up Analysis	Value/Growth/Momentum
Capital Allocation Analysis	Strategy selector tab
Liquidity Analysis	Bond and day trading
Country Risk Assessment	Global vs UK allocation

THIS PROJECT

Purpose	Key Output
Compare Sharpe/Sortino ratios	Value investing best risk-adjusted
Model 10,000 possible outcomes per strategy	Distribution of terminal values
Test how win rate and R:R affect profitability	Most patterns marginal after costs
Identify strategies with buffers against bad outcomes	All Weather and Dividend safest
Benchmark strategies against each other	Strategy ranking table
Start with macro (rates, inflation) then strategy	Ladder best for rate uncertainty
Analyse individual strategy mechanics first	Stock selection frameworks
Match capital deployment to investor profile	Personalised recommendations
Assess how easily positions can be exited	Bonds lowest liquidity risk
Consider geographic diversification	Global index reduces UK concentration